

The most striking fact about the four companies is that the current price/earnings ratios vary much more widely than their operating performance or financial condition. Two of the enterprises—ELTRA and Emhart—were modestly priced at only 9.7 times and 12 times the average earnings for 1968–1970, as against a similar figure of 15.5 times for the DJIA. The other two—Emerson and Emery—showed very high multiples of 33 and 45 times such earnings. There is bound to be some explanation of a difference such as this, and it is found in the superior growth of the favored companies' profits in recent years, especially by the freight forwarder. (But the growth figures of the other two firms were not unsatisfactory.)

For more comprehensive treatment let us review briefly the chief elements of performance as they appear from our figures.

1. *Profitability.* (a) All the companies show satisfactory earnings on their book value, but the figures for Emerson and Emery are much higher than for the other two. A high rate of return on invested capital often goes along with a high annual growth rate in earnings per share.* All the companies except Emery showed better earnings on book value in 1969 than in 1961; but the Emery figure was exceptionally large in both years. (b) For manufacturing companies, the profit figure per dollar of sales is usually an indication of comparative strength or weakness. We use here the "ratio of operating income to sales," as given in Standard & Poor's *Listed Stock Reports*. Here again the results are satisfactory for all four companies, with an especially impressive showing by Emerson. The changes between 1961 and 1969 vary considerably among the companies.

2. *Stability.* This we measure by the maximum decline in per-share earnings in any one of the past ten years, as against the average of the three preceding years. No decline translates into 100% stability, and this was registered by the two popular concerns. But the shrinkages of ELTRA and Emhart were quite moderate in the "poor year" 1970, amounting to only 8% each by our measurement, against 7% for the DJIA.

3. *Growth.* The two low-multiplier companies show quite satisfactory growth rates, in both cases doing better than the Dow Jones group. The ELTRA figures are especially impressive when set against its low price/earnings ratio. The growth is of course more impressive for the high-multiplier pair.